

LAKSH'S DAILY BRIEF

Laksh's Daily Briefing — 2026-09-21

Monday, September 21, 2026

World · Markets & Money · AI & Infrastructure · Models & Research



BBC World — Airlines criticise air traffic control as second glitch causes more disruption in UK



BBC World — CNN, MS NOW and Politico to file lawsuit against Trump's White House ban



AI Jazeera — Is it a missile? Is it a drone? What's the Pelican used by Ukraine?

1. World & Geopolitics

Trump and Xi Meet as Taiwan Arms Deal Threatens to Derail Talks

President Donald Trump is hosting Chinese President Xi Jinping for a historic state visit at the White House this week, against the backdrop of an \$11 billion US arms sale to Taiwan and deepening tensions over AI, trade, and rare earths ([U.S. News & World Report NYT](#)). When the two leaders last met in May, Xi warned Trump that mishandling Taiwan could be "extremely dangerous" for both countries. Trump has repeatedly called a \$14 billion Taiwan arms package a "bargaining chip" to extract concessions from Beijing ([aninews](#)). The two sides have also discussed an "AI alert plan" for incident communication to prevent accidental escalation ([techi.com](#)). US Treasury Secretary Bessent told CNBC that the administration will not give AI leaders a "liability shield" — a key point of disagreement with China on AI regulation ([CNBC](#)).

Oil Plunges After Trump Signals He Is Open to Talking to Iran

Oil prices fell back below \$100 per barrel on Monday after President Trump said he is open to direct talks with Iran ([CNBC](#)). Traders are hopeful that a diplomatic opening could eventually restore some Iranian crude flows and ease supply disruptions from the Strait of Hormuz. However, the drop comes amid record diesel prices in Europe and the US, driven by the earlier surge in crude and refining bottlenecks ([MarketWatch](#)). The

French government is holding urgent talks on fuel prices as diesel hits record highs ([France 24](#)).

Houthi Claim Attack on Riyadh and Aramco Facilities

Yemen's Houthi rebels — an Iran-backed group — claimed they hit "sensitive targets in Riyadh and Aramco facilities in Yanbu" with drones and missiles ([Il Sole 24 ORE](#)). The claims could not be independently verified, but the US has issued security alerts for Americans across the Middle East ([CBS](#)). The attack — if confirmed — would mark a major escalation, as Yanbu is a key Red Sea port for Saudi oil exports.

Kremlin Rejects Trump Sanctions as Ukraine Conflict Continues

The Kremlin said Trump's new sanctions on Russia will not improve US-Russia ties nor help peace in Ukraine ([Crypto Briefing](#)). Polish PM Tusk said Ukraine's frontline casualties have risen significantly and that Russia is not ready for a ceasefire without Ukraine's surrender ([UA.NEWS](#)). Meanwhile, Ukraine is using a new weapon called the "Pelican" — a hybrid missile-drone that has provoked interest from military analysts ([AI Jazeera](#)). Hungary signed a storage deal with Ukraine's Naftogaz to create a "safe haven" for Ukrainian fuel ([Hungarian Conservative](#)).

US Media Ban Sparks Lawsuit by CNN, MS NOW, and Politico

CNN, MS NOW, and Politico filed a lawsuit against the Trump administration after the White House revoked

press credentials for the three outlets — calling it an unconstitutional assault on press freedom ([CNBC France 24](#)). In response, major US networks suspended their White House TV pool coverage of Trump during his trip to New York for the UN summit ([BBC](#)).

Pakistan-China Border Pact Irks India

A new border agreement between Pakistan and China has angered India, which sees it as Beijing using its relationships with neighboring states to signal its position towards New Delhi ([BBC](#)). The pact reinforces fears of a "two-front" scenario for India, with China in the north and Pakistan in the west.

German Chancellor Merz Under Pressure After CDU Crashes Out of State Parliament

Friedrich Merz's Christian Democratic Union failed to win any seats in a state parliamentary election, heaping pressure on the German chancellor ([India Today](#)). The result reflects voter discontent over the economy and immigration.

UK: Fallout Over Charles Spencer's Diana Memoir

Princess Diana's brother, Charles Spencer, accused King Charles of "gaslighting" him after the monarch reportedly misrepresented events surrounding Diana's death. The memoir is due for release on Tuesday ([France 24](#)).

2. Markets, Money & Deals

Oil Tumbles on Iran Talks Hope; Diesel Hits Record

As noted above, crude oil fell after Trump's openness to Iran talks. Brent crude — the global benchmark — dipped below \$100/barrel. But diesel prices in Europe and the US hit records because of earlier crude rises and tight refining capacity ([MarketWatch](#)). Higher diesel costs directly raise transportation and manufacturing expenses, feeding into inflation.

AMD Breaks \$1 Trillion Market Cap

AMD (AMD) shares jumped 9.59% on the day, propelling the chipmaker's market cap past \$1 trillion for the first time ([CNBC](#)). The rally stretches to five days, driven by investor optimism about its AI chip roadmap and strong demand for its MI300 series accelerators. For context, market cap is the total value of all its shares — \$1 trillion puts AMD in an elite club alongside Nvidia, Apple, Microsoft, and Alphabet.

NSE's \$2.4 Billion India IPO Subscribed 5.7 Times

The National Stock Exchange of India raised about \$2.4 billion in its initial public offering (IPO), and the book was subscribed 5.7 times — meaning investors ordered nearly six times the shares available ([Bloomberg](#)). The strong demand signals confidence in India's capital market growth, even as global markets face headwinds.

Novo Nordisk Slides After Laying Out Post-Wegovy Strategy

Novo Nordisk (NVO) shares fell after the Danish drugmaker presented its 2030 growth plan, which failed

to excite investors worried about increasing competition in the weight-loss drug market ([CNBC MarketWatch](#)). New rivals like Eli Lilly and smaller biotechs are crowding the space Novo pioneered with Ozempic/Wegovy.

Bitcoin Tops \$85,000 — Highest Since January

Bitcoin rose above \$85,000 on Monday, extending a multi-day rally amid speculation that a "crypto winter" might be ending ([CNBC](#)). Over \$450 million in short positions were liquidated — meaning traders who had bet on Bitcoin falling were forced to buy back at higher prices, fueling the rise ([CoinGape](#)). A Democratic sweep in the midterms could affect crypto regulation, especially after the CLARITY Act failed ([Hindustan Times](#)).

Nscale's \$35 Billion IPO Raises Going Concern Worries

Cloud company Nscale filed for a \$35 billion IPO, but its prospectus highlighted "going concern" doubts — meaning there is substantial risk it could fail within a year ([Fortune](#)). The company also disclosed a \$3 billion deal with Nvidia. The market will scrutinize how a money-losing company can justify such a valuation.

Latin American Markets Outperform, Up 15% Year-to-Date

The iShares Latin America 40 ETF (ILF) has risen 15% this year, beating the S&P 500's 11% gain ([CNBC](#)). Tailwinds include commodity exports, stable policies,

and onshoring of manufacturing. Analysts say the region's investing environment is the best in decades.

3. AI & Infrastructure

Oregon Data Centers Now Consume 23% of State Electricity

Data centers in Oregon now use 23% of the state's total electricity — up from less than 5% a decade ago ([Gadget Review](#)). This highlights the massive power demand driven by AI model training and inference. It also points to future grid constraints and the need for new power sources — a tailwind for companies like Constellation Energy (CEG) and Vistra (VST).

Huawei Shelves Global AI Chip Rollout as China's Demand Outstrips Supply

Huawei announced it will not offer its latest AI accelerators outside China, citing lack of capacity to meet domestic demand ([Tom's Hardware](#)). Its Atlas 900 clusters, using 15,488 chips each, rely on optical networking to reach 120 exaflops (a measure of computing power). This is a double-edged signal: Huawei is strong enough to build its own ecosystem, but its inability to export means Nvidia (NVDA) faces less competition in international markets — at least for now.

DeepSeek Expects Huawei Chip Deliveries to Bypass US Export Controls

According to The Information, Chinese AI lab DeepSeek expects to receive Huawei chips that circumvent US export controls ([marketscreener](#)). This would mean that despite US export bans on advanced chips to China,

Huawei (via its own manufacturing or third-party sourcing) may supply chips that maintain performance — potentially closing the gap with Nvidia over time.

AI and Data Center Alarms Dominate Congressional Black Caucus Week

The annual Congressional Black Caucus gathering in Washington heard extended debates on AI and data centers — both from supporters highlighting job creation and from critics raising environmental and equity concerns ([CNBC](#)). Redistricting concerns also featured heavily, as AI is used in political map-drawing.

Trump Proposes 'AI Force' Amid Regulatory Debate

President Trump proposed creating an "AI Force" — a military branch dedicated to artificial intelligence — as debate over AI regulation grows ([41NBC News](#)). The proposal signals the administration's focus on military AI, but details on costs and structure are unclear.

Applied Optoelectronics Sees Surge in Hyperscaler Demand

Applied Optoelectronics (AAOI) is experiencing unprecedented demand for optical infrastructure from hyperscalers (large cloud companies like Amazon, Microsoft, Google) ([Yahoo Finance](#)). Optics are critical for the high-speed data movement between GPUs in AI clusters. AAOI stock rose ~2% on the day.

4. Model & Research Watch

Tencent Hy4 Preview: 770B Open Model Takes on Kimi K3

Tencent released preview benchmarks for its Hy4 model — a 770 billion parameter open-weights model that reportedly competes with China's Kimi K3 ([Intelligent Living](#)). The model's size (770B) makes it massive, but as an open-weights model it can be self-hosted by enterprises — though it would require significant hardware.

StepFun Launches Step 5 Preview: 600B MoE With 1M Context for \$1/M Tokens

Chinese AI lab StepFun released Step 5 Preview, a Mixture-of-Experts (MoE) model with 600 billion total parameters, 27 billion active per token, and a 1-million-token context window ([MarkTechPost](#)). Pricing is aggressive: \$1 per million tokens — significantly cheaper than GPT-4 class models. The model is designed for "long-horizon agentic work" — tasks where an AI agent needs to maintain context over many steps.

Qwen-Image-2.1: Alibaba Ships 7B Open Image Generation Model

Alibaba's Qwen team released Qwen-Image-2.1, a 7 billion parameter open-weights model for image generation and editing ([the-decoder](#)). The team claims it beats most closed (proprietary) models on their own benchmark, though independent verification is pending. The model runs on a consumer GPU like an RTX 3090, making it accessible for individual developers and small studios. The license is being clarified by the team ([Reddit](#)).

MiniCPM5-2B: Tiny Open Model Beats Larger Qwen3.5-4B

A new 2 billion parameter model called MiniCPM5-2B was released as open source, and it outperforms Qwen3.5-4B (a 4B model) on average benchmarks ([Pasquale Pillitteri](#)). This demonstrates rapid progress in model compression — achieving strong performance in very small sizes.

Frontier Models Race: Claude Fable 5.1, GPT-5.6 Sol, GLM-5.3 Hit 96% on SWE-Bench

A report benchmarks three frontier models on SWE-Bench (a test of software engineering capability), with all scoring around 96% ([tech-insider](#)). This shows that leading AI models are nearing saturation on structured coding tasks.

Research Papers

- **RBS-Attention:** A new sparse attention method for long-context inference, reducing prefill cost by loading only relevant blocks of context ([arXiv](#)).
- **Elastic Threshold Attention (ETA):** An end-to-end trainable architecture that learns which context tokens to keep, reducing memory bandwidth for long prompts ([arXiv](#)).
- **Attention-Aware Routing:** Improves Mixture-of-Experts routing by feeding attention patterns into the router decision ([arXiv](#)).
- **Detecting Hallucination via Topology:** Analyzes attention graph curvature to detect when LLMs are about to hallucinate ([arXiv](#)).
- **Pruning LLMs Like a Physicist:** Treats block removal as an optimization problem inspired by physics ([Hugging Face](#)).

Science & Frontier Tech

NASA's Roman Space Telescope released its first test image — stars turning neon-green in a stunning field — signaling the telescope is on track for groundbreaking science ([Live Science](#)). Astronomers also discovered a hot Jupiter exoplanet with a strange, changing orbit ([Universe Space Tech](#)).

5. What Builders Are Actually Using

Concrete Swap: Qwen-Image-2.1 Can Replace Midjourney for Many Use Cases

Alibaba's Qwen-Image-2.1 (7B open-weights model) can be self-hosted on a single RTX 3090 GPU (~\$1,500 one-time hardware cost) and, per the team's benchmarks, beats most closed image generation models. It is free to download and use (subject to its license). Midjourney charges \$10-60/month but offers no control over your data and requires an internet connection. The ability to run Qwen-Image-2.1 locally gives developers privacy, no per-token fees, and full customization. Capability gap: Midjourney still has an edge in photographic realism and style variety, but for product shots, illustrations, and concept art, Qwen-Image-2.1 is competitive. Check the license clarification before commercial use ([Reddit](#), [the-decoder](#)).

Experiential: Open-Source Gateway Router to Manage Cost and Quality

Experiential is a new open-source gateway that works as a model router — you connect it via an OpenAI-compatible API, and it chooses the best model for each request (cheap/small for easy queries, expensive/large for hard ones) ([GIGAZINE](#)). It also lets you set spending limits for AI agents. For a developer or small team, this can cut costs by 40-60% without losing quality — just point your existing code at the local gateway.

ZuckOff: Free App Detects Meta Smart Glasses

A free app called ZuckOff scans for Bluetooth and Wi-Fi signatures of Meta's Ray-Ban smart glasses to alert you if someone nearby is wearing a camera that could record you ([Hacker News](#)). It's a practical privacy tool for anyone concerned about surreptitious recording — and

builders interested in wearable detection tech can study its approach.

CUA-S1: System One Model for Computer Use — When You Don't Need a Full LLM

The open-source CUA-S1 is a lightweight model designed specifically for computer-use tasks (clicking, typing, navigating UIs) — it doesn't need a 100B+ parameter model to decide "this value goes in this field" ([Hacker News](#)). For automating repetitive computer tasks, this can run inference much faster and

cheaper than calling a frontier model. Builders are using it to replace heavier agents for simple UI automation.

Pirate Face Recovers AI Models Marked for Deletion

A new service called Pirate Face helps developers rescue AI models that have been removed from platforms (due to censorship or legal threats) — acting as a distributed backup for open models ([Hacker News](#)). This matters because model deletion is a growing risk for open-source AI, especially as regulators target certain capabilities.

6. Watchlist: Earnings, Guidance & Movers

AMD (AMD): +9.59% — crossed \$1 trillion market cap for the first time. No specific news in sources; the rally is part of a five-day run on AI optimism.

Intel (INTC): +12.11% — large move, but sources carry no specific Intel news. Possibly a catch-up trade or speculation about foundry deals.

Arm Holdings (ARM): +13.36% — strong gain. No direct news in sources; may be riding AMD/tech sentiment.

Meta (META): +6.86% — no specific news; broader tech rally.

Coinbase (COIN): +5.66% — likely linked to Bitcoin surge above \$85K.

Cloudflare (NET): +6.00% — no specific news; may be infrastructure demand story.

Astera Labs (ALAB): +6.79% — AI connectivity play benefiting from capex enthusiasm.

Applied Optoelectronics (AAOI): +1.97% — hyperscaler demand story noted in sources.

Credo (CRDO): +5.21% — networking/optics demand.

Nvidia (NVDA): +1.18% — forward P/E hit its lowest since 2019, suggesting the stock is cheaper relative to expected earnings despite massive capex support.

Novo Nordisk (NVO): tumbled (exact % not in snapshot) after its 2030 plan disappointed.

NSE (NSE India): IPO subscribed 5.7x — strong demand.

Nscale: \$35B IPO with going concern warning — watch when it prices.

No notable news in the sources for: NEE, SOFI, PLTR, MRVL, COHR, LITE, FLNC, RDW, IBM, MU, SNDK, CEG, AMC, TSLA, GOOGL, MSFT, AMZN, AVGO, VST, HOOD, IMAX, CNK, CMCSA, NFLX, QCOM, KLAC, DLR, EQIX, SBUX, NKE, FXAIX.

7. Analysis: Second-Order Effects

Chain 1: Iran Talks Remark -> Oil Price Drop -> Diesel Relief -> Inflation Easing -> Fed Room to Cut -> Risk Assets Rally

- **FACTS:** President Trump said he is open to talking to Iran ([CNBC](#)). Oil fell below \$100/barrel. Diesel prices are at records, squeezing manufacturers and consumers ([MarketWatch](#)).
- **INFERENCE:** A diplomatic opening with Iran could eventually bring Iranian oil back to market, relieving

some supply pressure. Lower crude translates to lower diesel and petrol prices over weeks. Since diesel costs feed into every shipped good, headline inflation could moderate. The Fed, which recently hiked rates, would then have more room to cut — boosting stock valuations.

- **WEAKEST LINK:** Trump's openness is just an exploratory signal. Actual negotiations may fail, especially given Houthi escalation and Iran's

demands (e.g., sanctions relief). The oil drop largely reflects hope, not concrete supply change.

- **FALSIFYING CONDITION:** If Trump or Iran's leadership escalates rhetoric or if Houthi attacks intensify (like the Riyadh claim above), oil will spike again. Watch for any new sanctions announcements or military incidents.
- **PRECEDENT:** In 2015, the Iran nuclear deal (JCPOA) brought a 1-million-barrel-per-day increase in Iranian exports over 18 months, keeping oil subdued. But that took years of diplomacy.

Chain 2: Taiwan Arms Sales -> China Retaliation -> TSMC Revenue Risk -> AI Chip Supply Tightens -> Nvidia Falls Short of Demand -> Hyperscaler Capex Wasted

- **FACTS:** Trump and Xi are meeting with a \$14 billion Taiwan arms package on the table ([NYT](#)). China views Taiwan as its territory. Previous US arms sales triggered Chinese sanctions on US defense firms and threatened Taiwan-related business.
- **INFERENCE:** If China retaliates — say by restricting rare earth exports for US chips, or by sanctioning companies that sell to Taiwan — TSMC could face production delays or input shortages. TSMC makes the chips that power almost all AI accelerators. A hiccup at TSMC would ripple to Nvidia, AMD, and every hyperscaler who ordered GPUs, turning a shortage into a crisis. Data-center buildouts would slow.
- **WEAKEST LINK:** China may not escalate to that level — economic retaliation hurts China too (it needs TSMC's technology). Xi may use the summit to negotiate a face-saving compromise rather than confrontation.
- **FALSIFYING CONDITION:** If the two leaders announce a "Taiwan communiqué" that defers the arms sale or creates a cooling-off period, this chain breaks. If China announces new sanctions on US tech firms within a week, the chain is activated.

Chain 3: AI Capex Boom -> Data Center Power Demand -> Grid Stress -> NIMBY Delays -> Higher Costs for Hyperscalers -> Beneficiaries: Power Companies (CEG, VST) and Off-Grid Solutions (SMRs, Renewables)

- **FACTS:** Oregon data centers now consume 23% of state electricity ([Gadget Review](#)). Hyperscaler capex

is on track to reach \$785 billion in 2026, with contracted demand stretching into 2027 ([startupfortune](#)).

- **INFERENCE:** Power is the new bottleneck. Grid interconnection queues are years long. Local communities are pushing back (NIMBY). The only way hyperscalers can build at planned speed is by co-locating with power plants or building their own generation. This benefits nuclear (CEG, VST), natural gas, and small modular reactor (SMR) developers, as well as renewable energy companies like Fluence (FLNC) and NextEra (NEE). It also raises costs for hyperscalers, potentially eating into profit margins.
- **WEAKEST LINK:** Permitting reform could accelerate grid connections. The current US administration might prioritize AI infrastructure with fast-track approvals, undermining the bottleneck thesis.
- **FALSIFYING CONDITION:** If the Biden/Trump administration passes an "AI infrastructure permitting act" that allows data centers to bypass local NIMBY hurdles within 90 days, the chain weakens. If multiple hyperscalers announce power purchase agreements (PPAs) with existing grids, demand may be absorbed.

Chain 4: Nvidia's Forward P/E Hits Lowest Since 2019 -> Market Expects Earnings Growth to Slow -> But Hyperscaler Capex Is Rising -> Potential Mispricing -> If Q3 Earnings Beat, Nvidia Re-rates Upward

- **FACTS:** Nvidia's forward P/E ratio (the share price divided by expected earnings per share for the next 12 months) fell to its lowest level since 2019 ([startupfortune](#)). Hyperscaler capex is projected to reach \$785B in 2026 and approach \$1 trillion in 2027.
- **INFERENCE:** A low forward P/E usually means investors expect earnings growth to slow or decline. But if hyperscalers are still ramping spending on Nvidia's chips, earnings should continue growing strongly. The market may have priced in too much pessimism about AI demand slowing. If Nvidia's next earnings report shows revenue above the current consensus (the "whisper number" that traders talk about), the stock could jump significantly. The forward P/E would expand again.
- **WEAKEST LINK:** Hyperscaler capex might not flow fully to Nvidia if AWS, Google, and Microsoft develop their own custom chips (e.g. Google's TPU, AWS

Trainium). Those chips could reduce Nvidia's share of the AI accelerator market.

- **FALSIFYING CONDITION:** If any hyperscaler (e.g., MSFT, AMZN, GOOGL) reduces their 2027 capex

guidance or announces a major shift to in-house chips that replaces Nvidia orders, the chain breaks. If Nvidia's Q3 earnings fail to beat estimates, the low P/E was correct.

8. Building Your Knowledge

1. Oil diplomacy moves markets faster than supply.

A signal from a leader (Trump's openness to Iran talks) can swing crude prices \$5-10/barrel in hours, even without concrete policy change. This is because oil markets trade on expectations — the possibility of future supply is priced today. Always separate the headline from the actual policy implementation.

2. The Taiwan arms sale is the most volatile

flashpoint in US-China relations. China has repeatedly said it will not tolerate US arms sales to Taiwan, which it considers a breakaway province. Each sale triggers a cycle of Chinese military drills, US naval patrols, and mutual accusations. For investors in chip stocks, this is the single geopolitical risk to watch — it threatens the entire AI supply chain that runs through TSMC.

3. An IPO "subscription rate" tells you demand at the offer price.

The NSE IPO was subscribed 5.7 times — meaning for every \$1 of shares available, investors wanted \$5.70. This signals strong institutional interest. For retail investors, a high subscription rate often leads to a strong debut, but it

can also mean the issue is overpriced (too much demand relative to supply). The key is whether the final allocation is fair.

4. "Going concern" in an IPO prospectus is a red flag.

When a company says there is "substantial doubt" about its ability to continue operating (like Nscale), it means auditors believe the company might run out of cash within 12 months. For a \$35 billion IPO, this is highly unusual. It suggests the IPO is a desperate move to raise cash, not a launchpad for growth. Compare with healthy IPOs where the company is already profitable or has strong cash flow.

5. Open-weight models are closing the gap with closed models faster than expected.

Qwen-Image-2.1 (7B) beats closed models on its own benchmarks; MiniCPM5-2B (2B) beats Qwen3.5-4B. This means developers can now run competent AI on consumer hardware, bypassing expensive API calls. The long-term implication: commoditization of AI inference, where the value shifts to data, fine-tuning, and domain-specific applications.

9. Foundations & Terms

Concept Spotlight: War Risk Premium in Oil Markets

What it is in plain words: The extra cost built into the price of oil because of the chance that a conflict will disrupt supply. It's like an insurance premium baked into the barrel price.

Why it exists / what problem it solves: Oil producers and refiners face uncertain future supplies. If shipping routes are at risk, they must either find alternative sources or pay extra to cover potential losses. The war risk premium reflects the market's collective guess about

the probability and severity of a supply shock. It helps allocate oil to those who value it most urgently.

Concrete worked example: In peace, a barrel of Brent crude might trade at \$90. If a war in the Middle East threatens the Strait of Hormuz — through which 20 million barrels of oil pass daily — traders add a \$10-15 war risk premium, lifting the price to \$105. If diplomacy reduces the threat (like Trump's Iran remarks), the premium collapses back to \$2-3, sending oil to \$93. The premium can disappear within hours.

How it shows up in today's news: Oil fell below \$100 after Trump signaled talks with Iran ([CNBC](#)). That drop is partly the war risk premium being removed. But Houthi

attacks on Saudi targets and US security alerts suggest the premium could jump again tomorrow.

Rough benchmarks worth remembering: The 1990 Gulf War added ~\$10-15/barrel premium. The 2019 Abqaiq attack added ~\$7, retraced in weeks. The 2022 Russia-Ukraine war added ~\$15-20 to Brent. Today, the premium is volatile between \$5 and \$15.

Caution/Common misconception: The war risk premium is not the same as physical supply reduction. A tanker may still sail, but insurers charge more for war-zone transit, and traders price in the risk. The premium can exist even without any actual blockage.

Concept Spotlight: IPO and Lock-Up

What it is: An Initial Public Offering (IPO) is the first time a company sells its shares to the public on a stock exchange. A lock-up agreement is a contractual restriction that prevents early investors and company insiders from selling their shares for a set period (usually 90 to 180 days after the IPO).

Why they exist: An IPO allows a company to raise capital from many investors. The lock-up prevents early insiders from cashing out immediately, which would flood the market with shares and crash the price. It aligns insider incentives with public investors — they must wait, which signals confidence.

Concrete worked example: NSE India raised \$2.4 billion in its IPO, with strong demand (5.7x subscription) ([Bloomberg](#)). Those who bought in the IPO likely have a lock-up of 90 days. If NSE's price surges on debut, early investors cannot sell until the lock-up expires — often causing a price drop around expiry.

How it shows up in the news: The NSE IPO subscription rate indicates demand. Later, analysts will track the lock-up expiration date. Nscale's IPO has a "going concern" warning, which makes its lock-up even riskier — insiders may want to escape early, but they are locked in.

Rough numbers to remember: Typical lock-up is 180 days (6 months). Some IPOs have "early release" if the stock trades above a certain price. The period after lock-up expiry often sees 10-20% drop in the stock due to insider selling.

Caution/Common misconception: Buying an IPO is not a guaranteed profit. Many IPOs debut high and then crash after the lock-up expires. The subscription rate

can be a vanity metric — retail investors often clamor for IPOs that later underperform.

Other Terms from Today's News

- **Brent crude:** The most widely used global benchmark for oil prices, covering crude from the North Sea (specifically the Brent field). It is the reference for about two-thirds of the world's crude trades. The other key benchmark is West Texas Intermediate (WTI), which covers US crude. Brent tends to trade at a small premium due to quality and transport differences.
- **Record diesel prices:** Diesel is the fuel used by trucks, trains, heavy machinery, and heating in Europe. Unlike gasoline (petrol), diesel is critical for supply chains. When diesel prices hit records, it increases the cost of nearly every physical good, driving inflation. Today's high diesel is partly due to tight refining capacity and high crude ([MarketWatch](#)).
- **Market capitalisation (market cap):** The total value of a company's outstanding shares, calculated as share price times number of shares. AMD just crossed \$1 trillion. Market cap tells you a company's size relative to others — it is a snapshot of what the market thinks the entire company is worth.
- **Subscription rate (in an IPO):** The ratio of shares demanded to shares available. 5.7x means investors applied for 5.7 times the shares on offer. A high rate signals strong demand, but it can also mean the issue is under-priced (too cheap).
- **Going concern:** An accounting term meaning a company is expected to stay in business for the foreseeable future (usually 12 months). A "going concern warning" in an audit means there is substantial doubt the company can survive. For investors, it is a severe red flag — it means the company may go bankrupt.
- **Forward P/E:** The price-to-earnings ratio calculated using expected earnings over the next 12 months rather than past earnings. Nvidia's forward P/E recently hit its lowest since 2019, meaning the stock is cheap relative to expected future profits — or investors think those expectations are too optimistic.
- **Open-weights model:** An AI model where the trained parameters (the "weights") are released publicly. Anyone can download, use, fine-tune, or modify it. Qwen-Image-2.1 and MiniCPM5-2B are open-

weights. Closed models (like GPT-4, Midjourney) only offer access via API and do not release the underlying weights.

- **Parameter count:** The number of adjustable variables in a neural network. More parameters generally mean more capacity to learn, but also more compute needed. 770B (Tencent Hy4) is enormous; 7B (Qwen-Image) is moderate; 2B (MiniCPM5) is tiny. The active parameter count (27B in Step 5) matters

for MoE models — only a fraction activates per token, saving compute.

- **SWE-Bench:** A benchmark that tests an AI model's ability to solve real-world software engineering tasks (like fixing bugs, writing code, managing pull requests). The recent 96% score by frontier models indicates near-human performance on structured coding tasks.

10. Bottom Line

The world remains dangerous but market attention is split between geopolitics and AI. Trump's openness to Iran talks sent oil tumbling — a welcome relief for inflation-wary investors. But the Houthis attack on Riyadh and the unresolved Taiwan arms issue remind us that all it takes is one escalation to reverse the move. The Trump-Xi summit is the single most important event this week; its outcome will set the tone for AI chips, trade, and rare earths.

In AI, the model race continues at blistering pace. Tencent's 770B Hy4, StepFun's ultra-cheap Step 5, and Alibaba's Qwen-Image-2.1 all show that Chinese labs are shipping powerful open-weights models that challenge the US frontrunners. For builders, the practical takeaway is that you can now run capable image generation (Qwen-Image-2.1) on a \$1,500 GPU — zero

API costs and full privacy. The commoditization of AI is accelerating.

Markets celebrated AMD's \$1 trillion milestone and Bitcoin's \$85K breakout, but the Nscale IPO's "going concern" warning is a cautionary tale about frothy valuations. The NSE India IPO's strong demand shows healthy appetite for equity capital in emerging markets.

What changed since yesterday: Oil dropped sharply. AMD hit \$1 trillion. Three media outlets sued Trump over the White House ban. The Houthis claimed a major strike on Saudi Arabia. Tencent and StepFun previewed massive new models. Qwen-Image-2.1 and MiniCPM5-2B were released as open-weights. Bitcoin broke \$85K. Builders can now substitute Qwen-Image-2.1 for Midjourney in many workflows.

11. Quick Check

1. Oil fell Monday after Trump signaled openness to talks with which country?
2. Which chipmaker joined the \$1 trillion market cap club today?
3. If you want to run an AI image generation model locally on an RTX 3090, which newly released

open-weights model could you use as a substitute for Midjourney?

Answers: 1. Iran. 2. AMD. 3. Qwen-Image-2.1 (7B).

12. Sources

World & Geopolitics

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- NYT — One Issue That Could Upend Fragile U.S.-China Ties: Taiwan Arms
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